

KHADI AND VILLAGE INDUSTRIES PROGRAMMES

Detailed Scheme Information Document

Administrative framework: Ministry of Micro, Small and Medium Enterprises (MSME) and Khadi and Village Industries Commission (KVIC).

Purpose: A detailed informational document covering the major Khadi and Village Industries programmes, their objectives, activities, beneficiaries, implementation structure, application process and related official resources.

Prepared from the programme information and official-source references discussed in this conversation. This document is for educational and project-development use; the latest Government circulars and scheme guidelines should be checked before relying on any specific benefit or eligibility condition.

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1. Introduction and Administrative Framework

Khadi and Village Industries programmes are a group of Government initiatives intended to promote khadi production, traditional village industries, rural employment, artisan livelihoods, entrepreneurship, technology improvement, marketing and sustainable non-farm economic activity. The sector is administered mainly through the Ministry of Micro, Small and Medium Enterprises and the Khadi and Village Industries Commission.

Khadi refers broadly to hand-spun and hand-woven fabric and the institutions and artisan systems associated with its production. Village industries cover a wide range of rural and traditional economic activities that use local skills, resources, labour and small-scale production methods.

The programmes are not one single uniform benefit scheme. Different components have different objectives, eligible beneficiaries, application routes, financial assistance patterns and implementing agencies. A website or project should therefore identify each programme separately while showing its relationship to the wider KVI framework.

The principal institutional bodies and channels include:

- Ministry of Micro, Small and Medium Enterprises (MSME).
- Khadi and Village Industries Commission (KVIC).
- State Khadi and Village Industries Boards.

- Khadi institutions and certified institutions.
- Cooperative societies and producer organisations.
- Banks and financial institutions.
- Training institutions and approved implementing agencies.
- Self-help groups, artisan groups and micro-enterprises.

2. Khadi Gramodyog Vikas Yojana

Khadi Gramodyog Vikas Yojana is an umbrella development framework for khadi and village industries. It brings together development activities intended to improve productivity, employment, wages, infrastructure, technology, marketing, institutional strength and the long-term sustainability of khadi and village-industry enterprises.

The programme has two broad components:

- Khadi Vikas Yojana.
- Gramodyog Vikas Yojana.

Main objectives include:

- Increase productivity of khadi artisans and village-industry workers.
- Improve wages and livelihood security.
- Increase the number of artisans and employment opportunities.
- Improve production infrastructure and working conditions.
- Increase khadi and village-industry production and sales.
- Modernise and renovate sales outlets and production facilities.
- Promote marketing, branding, publicity and market access.
- Improve the competitiveness of khadi institutions and village enterprises.
- Encourage technology improvement and appropriate renewable-energy use.
- Support traditional skills while making products suitable for contemporary markets.

Typical development activities may include support for spinning, weaving, charkhas, looms, tools, equipment, training, design, product diversification, marketing, institutional strengthening, common facilities and production-system improvement.

3. Khadi Vikas Yojana

Khadi Vikas Yojana focuses on the development of the khadi sector, including khadi artisans, spinners, weavers, khadi institutions, production systems, sales outlets and related infrastructure.

Objectives:

- Increase khadi productivity and production capacity.
- Improve artisan wages and livelihood security.
- Modernise charkhas, looms and other production equipment.
- Improve the quality and consistency of khadi products.
- Improve working conditions for spinners, weavers and other artisans.

- Promote design development and product diversification.
- Strengthen khadi institutions and their management systems.
- Improve domestic marketing and promote suitable export opportunities.
- Renovate and improve khadi sales outlets.
- Promote efficient production, supply-chain coordination and market responsiveness.

Major activities:

- Support for spinning and weaving operations.
- Modernisation or improvement of charkhas and looms.
- Improvement of production sheds and artisan facilities.
- Training and skill development for khadi workers.
- Design development, colour development and product diversification.
- Quality improvement and standardisation.
- Marketing, publicity, exhibitions and sales promotion.
- Strengthening of khadi stores and sales outlets.
- Support for production and supply-chain systems.
- Encouragement of appropriate technology and energy-efficient practices.

Potential beneficiaries include khadi artisans, spinners, weavers, khadi institutions, cooperative societies and other eligible organisations connected with khadi production and marketing. The precise eligibility and assistance must be checked in the applicable operational guidelines.

4. Gramodyog Vikas Yojana

Gramodyog Vikas Yojana supports village industries and rural non-farm activities. It is intended to help traditional artisans and rural entrepreneurs improve tools, technology, skills, production, product quality, market access and income.

Industries commonly associated with village-industry development include:

- Honey and beekeeping industry.
- Handmade paper industry.
- Pottery and ceramic-related activities.
- Leather and footwear-related village industries.
- Wood and forest-based industries.
- Agro-based and food-processing activities.
- Herbal, medicinal and natural-product activities.
- Fibre and natural-resource-based industries.
- Soap and oil industries.
- Rural engineering and mechanical activities.
- Other approved village industries and traditional occupations.

Main support areas:

- Distribution or provision of improved tools and equipment.
- Technology upgradation and productivity improvement.
- Skill development and technical training.
- Product quality improvement and standardisation.
- Support for establishing or strengthening micro-enterprises.
- Market linkage, packaging, branding and sales support.
- Common facilities and shared production infrastructure.
- Support for traditional artisans and rural entrepreneurs.
- Promotion of employment and income generation in rural areas.

5. Market Development Assistance (MDA)

Market Development Assistance is associated with the marketing and promotion of khadi and khadi-related products. It is intended to help eligible khadi institutions improve sales, market access, publicity and the economic sustainability of the production and selling system.

Possible areas of support include:

- Marketing of khadi and polyvastra products.
- Promotion of khadi products in domestic markets.
- Sales promotion and publicity.
- Support for khadi institutions and selling institutions.
- Market-linked pricing and better market access.
- Promotion through exhibitions, fairs, bazaars and other events.
- Improvement of product presentation, branding and customer reach.
- Support for connecting producers, institutions and consumers.

Earlier Government descriptions referred to MDA being calculated as a percentage of the value of production of khadi and polyvastra, with distribution among artisans, producing institutions and selling institutions. Because rates, sharing patterns and operational conditions may change, the exact current rate must be confirmed from the latest KVIC or Ministry circular before being used as a current benefit figure.

6. Interest Subsidy Eligibility Certificate (ISEC)

The Interest Subsidy Eligibility Certificate scheme is intended to help eligible khadi institutions obtain bank finance at concessional interest rates. It supports working capital and production continuity and may reduce the effective interest burden on eligible institutions.

Main purposes:

- Provide working capital for khadi production and related operations.
- Support purchase of raw materials and payment of operating expenses.
- Reduce the effective cost of institutional borrowing.
- Help khadi institutions maintain continuous employment for artisans.
- Improve production continuity and financial stability.

- Support institutions that meet the prescribed eligibility and documentation requirements.

ISEC is generally institution-oriented rather than a universal individual cash benefit. Lending arrangements, subsidy limits, bank procedures and eligibility requirements must be checked with the relevant KVIC office, bank and current guidelines.

7. Khadi Reform and Development Programme (KRDP)

The Khadi Reform and Development Programme was introduced to make khadi institutions more productive, competitive, transparent and sustainable. It focuses on institutional reform, better management, improved production systems, artisan welfare and stronger marketing.

Main objectives:

- Improve institutional governance and management.
- Strengthen financial management and accountability.
- Improve production planning and operational efficiency.
- Increase employment and artisan income.
- Improve product quality and market competitiveness.
- Strengthen marketing and sales systems.
- Encourage producer groups, self-help groups and collective activity.
- Promote professional management and better reporting.
- Improve the sustainability and long-term viability of khadi institutions.

Reform-related activities may include institutional assessments, management improvement, production-system upgrades, financial strengthening, marketing improvements, capacity building and support for eligible institutions under approved project arrangements.

8. Scheme of Fund for Regeneration of Traditional Industries (SFURTI)

SFURTI is a cluster-based programme for the regeneration and development of traditional industries. It supports groups of traditional artisans and enterprises through common infrastructure, improved tools, design, skills, packaging, branding, market development and institutional arrangements.

Main support areas:

- Replacement of obsolete equipment.
- Common Facility Centres.
- Product development and design improvement.
- Skill development and capacity building.
- Packaging, branding and quality improvement.
- Market promotion and market linkage.
- Institutional development and formation of suitable implementation structures.
- Improved competitiveness and productivity.
- Support for khadi, village and other traditional industries.

- Development of cluster-level facilities and shared services.

The cluster approach allows artisans and small units to share facilities and services that may be too expensive for an individual unit. Eligible implementing agencies, cluster proposals, project costs, beneficiary contributions and approval procedures are governed by the applicable SFURTI guidelines.

9. Prime Minister's Employment Generation Programme (PMEGP)

PMEGP is a credit-linked subsidy programme for establishing new micro-enterprises in the non-farm sector. It is one of the major employment and self-employment programmes connected with the khadi and village-industries ecosystem.

Main objectives:

- Generate employment in rural and urban areas.
- Support traditional artisans and unemployed youth.
- Encourage self-employment and entrepreneurship.
- Reduce rural-to-urban migration.
- Increase the earning capacity of artisans and entrepreneurs.
- Establish new eligible micro-enterprises.
- Promote local production, services and non-farm economic activity.

General eligibility principles commonly associated with PMEGP include:

- Individual applicants are generally required to be above 18 years of age.
- There is generally no universal income ceiling for new PMEGP projects.
- Educational qualification requirements may apply above specified project-cost limits.
- Assistance is generally intended for eligible new projects.
- Existing units that have already received certain Government subsidies may not qualify under the applicable rules.
- Specific rules apply to trading, transport, manufacturing, service activities, project cost, beneficiary contribution, bank finance and training.

PMEGP assistance normally involves a beneficiary contribution, bank finance and a Government margin-money subsidy subject to category, location, activity and project conditions. Applicants may also be required to complete Entrepreneurship Development Programme training and undergo verification and monitoring.

Because PMEGP rules and subsidy rates can be revised, the latest KVIC, Ministry of MSME and PMEGP guidelines must be checked before presenting exact percentages or project-cost limits.

10. Honey Mission

Honey Mission promotes beekeeping and honey production as a rural livelihood and village-industry activity. It supports the development of beekeeping skills, honey production, pollination-related livelihood and honey-based enterprises.

Main support may include:

- Bee boxes and live bee colonies.
- Beekeeping tools and equipment.
- Training and technical guidance.
- Honey production and handling.

- Pollination-related livelihood opportunities.
- Rural employment and supplementary income.
- Support for honey-based micro-enterprises.
- Awareness of scientific beekeeping and quality practices.

Eligibility, selection, training arrangements, equipment distribution and implementation procedures depend on the relevant Honey Mission guidelines and the responsible KVIC or implementing office.

11. KVIC Rozgar Yukta Gaon (KRYG)

KVIC Rozgar Yukta Gaon is an employment-oriented village-development approach associated with khadi and village industries. It aims to create local employment through village-level enterprises, artisan groups, production systems and market linkages.

Main objectives:

- Create local employment opportunities.
- Encourage village-level enterprises.
- Support artisan groups and rural entrepreneurs.
- Improve production and marketing.
- Develop village-based value chains.
- Reduce migration caused by lack of local employment.
- Promote sustainable rural livelihoods.
- Strengthen linkages between production, training, finance and markets.

12. Workshed and Artisan Support

Workshed and artisan-support activities are intended to improve the physical conditions in which artisans work and produce goods. Depending on the applicable programme, support may relate to worksheds, tools, equipment, energy, common infrastructure and safer working conditions.

Possible support areas:

- Improved workspaces and production sheds.
- Better production conditions.
- Tools and equipment.
- Safety and hygiene improvements.
- Electricity and energy-related facilities.
- Common infrastructure.
- Improved productivity.
- Better working conditions and artisan welfare.

Earlier KVI programme descriptions included assistance for construction or improvement of worksheds for khadi artisans. The exact assistance, eligible artisan categories and construction conditions must be verified under the current applicable scheme.

13. Marketing and Sales Support

Marketing and sales support is a major part of khadi and village-industry development because artisans and small rural units often face difficulty reaching customers, obtaining fair prices, improving packaging and entering larger markets.

Possible marketing activities include:

- Domestic exhibitions and trade fairs.
- Khadi bazaars and sales events.
- Product displays and promotional campaigns.
- Publicity and awareness programmes.
- Branding and packaging improvement.
- Digital marketing and online sales channels.
- Buyer-seller meetings.
- Market linkage with institutional buyers.
- Export promotion where applicable.
- Improvement of khadi stores and sales outlets.
- Product catalogues, displays and promotional material.
- Market research and customer-oriented product development.

The objective is to connect artisans and institutions with consumers and larger markets while improving product visibility, sales and income.

14. Training and Skill Development

Training and skill development activities may be provided to improve traditional skills, technical knowledge, product quality, productivity, entrepreneurship and market readiness.

Training areas may include:

- Spinning and weaving.
- Dyeing and printing.
- Beekeeping and honey production.
- Pottery and ceramic work.
- Handmade paper production.
- Food processing.
- Tool and equipment operation.
- Product design and diversification.
- Quality control.
- Packaging and branding.
- Entrepreneurship and business management.
- Digital marketing and online selling.
- Financial literacy and institutional management.
- Technology upgradation and productivity improvement.

Training may be implemented through KVIC, State KVIBs, approved training institutions, technical agencies, project-specific agencies or other authorised organisations. The duration, stipend, toolkit support and selection conditions vary by programme.

15. Beneficiaries

Depending on the programme component, beneficiaries may include:

- Khadi artisans.
- Spinners and weavers.
- Rural entrepreneurs.
- Traditional craftsmen.
- Self-help groups.
- Producer groups.
- Cooperative societies.
- Khadi institutions.
- Village-industry units.
- Micro-enterprises.
- Unemployed rural youth.
- Women artisans.
- Marginalised communities.
- Entrepreneurs establishing eligible non-farm units.
- Artisan organisations and approved implementing agencies.

Eligibility is not identical for every programme. Some components are intended for individuals, while others are intended for institutions, clusters, groups, cooperatives or approved agencies.

16. Implementing Agencies

Implementation may involve the following bodies and organisations:

- Ministry of Micro, Small and Medium Enterprises.
- Khadi and Village Industries Commission.
- State Khadi and Village Industries Boards.
- Khadi institutions.
- Cooperative societies.
- Banks and financial institutions.
- Training institutions.
- Self-help groups.
- Producer companies and artisan organisations.
- NGOs and other approved agencies.
- District-level Government agencies.

- Other agencies authorised under the particular programme.

The Ministry of MSME provides the broader policy and administrative framework. KVIC is a major promotional and implementing organisation for khadi and village industries. State boards and local offices may assist with identification, registration, training, proposals, implementation and monitoring.

17. Common Documents

Documents vary according to the programme, beneficiary type and application route. Applicants or institutions may be asked for:

- Aadhaar card or another accepted identity document.
- Address proof.
- Bank account details and cancelled cheque.
- Passport-size photographs.
- Caste certificate, where applicable.
- Disability certificate, where applicable.
- Institution registration certificate.
- Khadi institution certification or approval, where applicable.
- Project report or business plan.
- Training certificate, where applicable.
- Land, lease or premises documents.
- Quotations for machinery, tools and equipment.
- Previous financial statements for institutions.
- GST or Udyam registration, where applicable.
- Details of existing loans, subsidies or Government assistance.
- Group, cooperative or self-help-group records, where applicable.
- Any additional documents specified by KVIC, KVIB, bank or implementing agency.

18. General Application Process

A typical application or proposal process may involve the following steps:

- Identify the appropriate khadi or village-industry programme.
- Check the eligibility conditions for the selected component.
- Contact KVIC, State KVIB, district office, bank or relevant implementing agency.
- Obtain the prescribed application form or access the official portal.
- Prepare a project report, business plan or institutional proposal where required.
- Collect identity, bank, registration and supporting documents.
- Submit the application or proposal through the prescribed channel.
- Undergo technical, financial, institutional or field scrutiny.
- Complete any required training, verification or appraisal.

- Obtain approval, sanction or recommendation.
- Receive assistance, subsidy, training, equipment or infrastructure support as applicable.
- Use the assistance for the approved purpose.
- Complete utilisation, monitoring, reporting and verification requirements.

The exact process can differ significantly. For example, a PMEGP applicant may follow a bank-linked project process, while an institutional khadi proposal or SFURTI cluster proposal may require organisational documents, technical appraisal, project approval and monitoring.

19. Programme Comparison Table

Programme	Main purpose
Khadi Gramodyog Vikas Yojana	Umbrella development of khadi and village industries
Khadi Vikas Yojana	Development of khadi production, artisans and institutions
Gramodyog Vikas Yojana	Development of village industries and rural enterprises
MDA	Marketing assistance and promotion
ISEC	Concessional interest support for eligible khadi institutions
KRDP	Reform and strengthening of khadi institutions
SFURTI	Cluster development of traditional industries
PMEGP	Credit-linked subsidy for new micro-enterprises
Honey Mission	Beekeeping and honey-based livelihoods
KRYG	Employment-oriented village development

20. Official Websites and Source Links

- **Ministry of MSME:** <https://msme.gov.in/>
- **Khadi and Village Industries Commission:** <https://kviconline.gov.in/>
- **Official Khadi Portal:** <https://kviconline.gov.in/khadi.jsp>
- **PMEGP Portal:** <https://pmegp.msme.gov.in/>
- **SFURTI Portal:** <https://kviconline.gov.in/sfurti>

Users should prefer official Government domains and the latest published guidelines, circulars, notifications and application instructions. Third-party websites may contain outdated rates, eligibility conditions or discontinued programme information.

21. Important Cautions and Verification Checklist

The information in this document explains the main structure and purpose of the Khadi and Village Industries programmes. It should not be treated as a substitute for the latest official operational guidelines, sanction orders, circulars or application instructions.

Before displaying a scheme as an active benefit on a website, verify:

- Whether the scheme is currently active.
- Whether the programme name has changed or has been merged into another scheme.
- Whether the applicant is an individual, institution, group, cluster or enterprise.
- Current age, income, location and category requirements.
- Current project-cost limits and subsidy or assistance rates.
- Whether the benefit is a grant, subsidy, loan, interest support, training or equipment.
- Whether bank finance or beneficiary contribution is required.
- Current application portal and responsible office.
- Current document requirements.
- Whether the benefit is available in the applicant's State or district.
- Whether any new circular has modified the original guidelines.
- Whether the applicant has already received another Government subsidy that affects eligibility.

For a project that recommends schemes based on a user's occupation, the website should collect details such as occupation, location, enterprise status, age, social category where voluntarily provided, annual income where relevant, whether the person is an individual or institution, and whether the activity is new or existing. The recommendation engine should then match the user to the precise eligibility rules of each programme rather than assuming that all KVI benefits apply to everyone.

End of Document

This document contains detailed informational coverage of the major Khadi and Village Industries programmes discussed above. For legally or financially consequential decisions, consult the latest official Government guidelines and the concerned KVIC, State KVIB, bank or implementing agency.